

Theories of International Trade and Investment

International Summer University^{WU} 2026 — Chapter 5
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Learning objectives

- Explain how firms gain and sustain international competitive advantage.
- Distinguish the main **FDI-based** theories — monopolistic advantage, internalization and Dunning's eclectic (OLI) paradigm.
- Apply the **OLI framework** to explain why a real firm expands abroad through foreign direct investment.
- Compare **non-FDI** entry via international collaborative ventures — equity joint ventures versus project-based alliances.
- Interpret global patterns in inward and outward FDI stock.

Opening activity: why build a factory abroad?

IN-CLASS OPENER · 10 MINUTES · THINK-PAIR-SHARE

Objective: surface your own intuitions about foreign expansion — then test them against the theories we cover today.

- 1 Pick a global firm you know — Apple, Toyota, Zara, Intel, Starbucks, Novartis.
- 2 It wants to serve a foreign market. It has three broad choices: **export** to the market, **license** a local partner, or **invest directly** (build/buy its own operation, i.e. FDI).
- 3 Which did your firm choose — and **why**? What did it own, or fear losing, that drove the decision?
- 4 Name one **advantage the firm carries with it** (a brand, patent or know-how) and one **advantage of the location** it chose.
- 5 Keep your example — we will map it onto the theories: **monopolistic advantage** → **internalization** → **the OLI paradigm**.

How firms gain and sustain international competitive advantage

- Since the MNE was traditionally the major player in international business, scholars have offered numerous explanations of what makes these firms pursue — and succeed in — internationalization.
- Because FDI has been MNEs' main strategy in international expansion, theoretical explanations have tended to emphasize it.
- The explanations fall into two broad groups: **FDI-based** theories (monopolistic advantage, internalization, the eclectic paradigm) and **non-FDI-based** theories (international collaborative ventures).

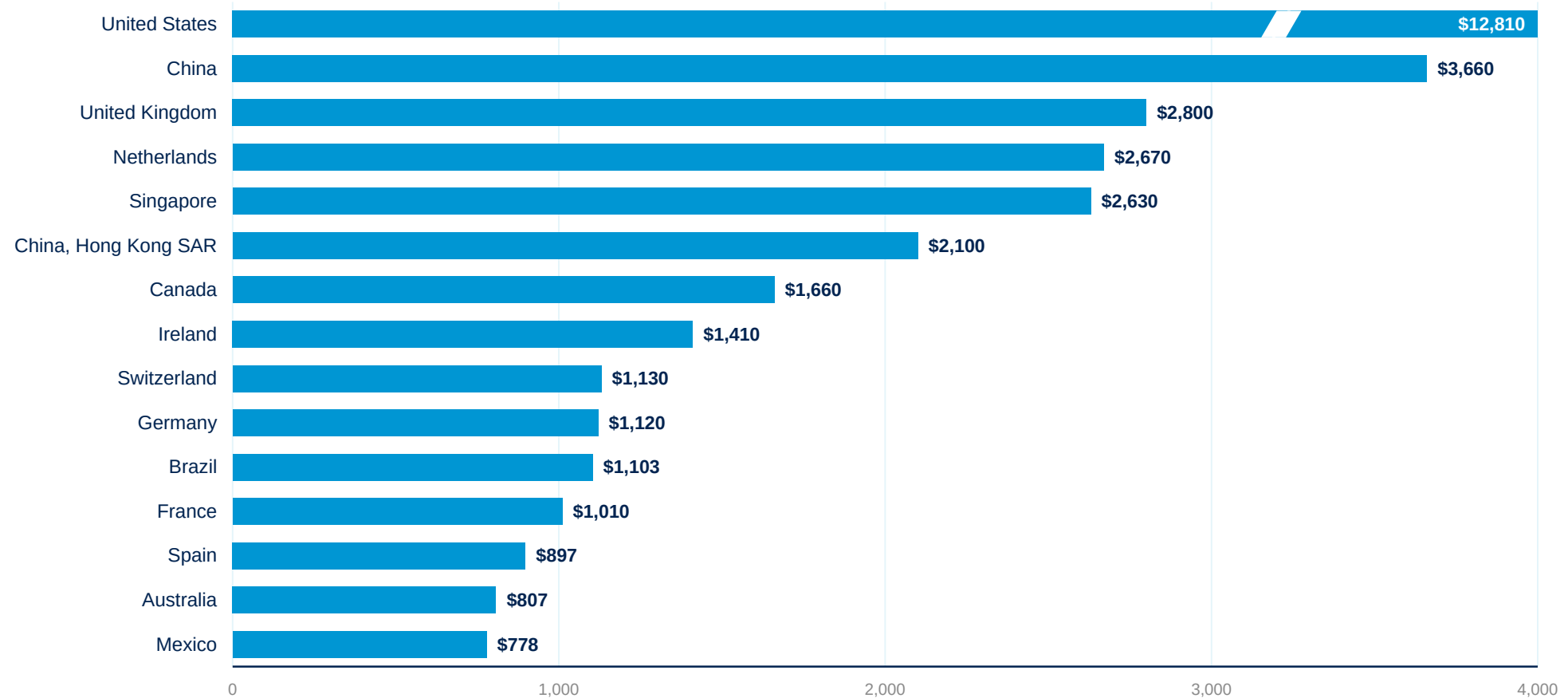
Stages in company internationalization

Firms typically deepen their international commitment gradually, moving from a purely domestic focus toward fully committed involvement abroad.



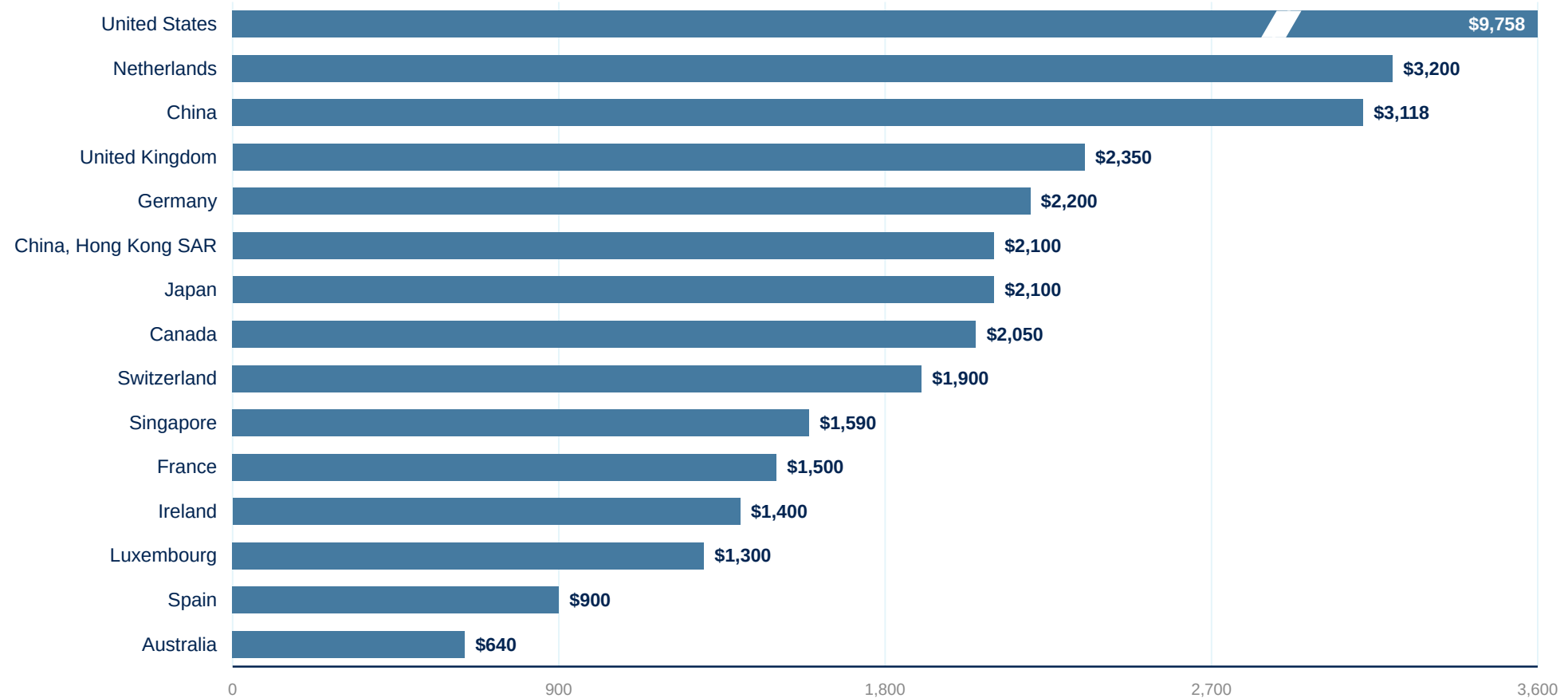
- **Domestic focus** – the firm serves only its home market.
- **Pre-export & experimental** – tentative first steps abroad, often via exporting to nearby or culturally similar markets.
- **Active & committed involvement** – systematic expansion, dedicated resources and, eventually, foreign direct investment.

Stock of inward FDI: leading destinations



Stock of inward FDI, 2023 (US\$ billions). Source: UNCTAD, World Investment Report 2024. US shown on a book-value basis (~\$12.8 tn; ~\$14 tn at market value). World inward FDI stock reached a record ~\$41 trillion in 2023 (IMF). The US bar is broken to fit the scale.

Stock of outward FDI: top sources



Stock of outward FDI, 2024 (US\$ billions). Source: UNCTAD, World Investment Report 2025; US, Netherlands and China figures are firm, mid-table values are approximate. Global FDI flows fell for a second straight year in 2024 ($\approx -11\%$ underlying, excluding conduit flows). The US bar is broken to fit the scale.

FDI-based explanations: monopolistic advantage theory

- Argues that MNEs prefer **FDI** because it gives the firm control over resources and capabilities in the foreign market, and a degree of monopoly power relative to foreign competitors.
- Key sources of monopolistic advantage include **proprietary knowledge, patents, unique know-how** and sole ownership of other assets.
- **Example — Novartis:** the Swiss pharmaceutical MNE earns substantial profits by marketing patented medicines through subsidiaries worldwide (FY2024 net sales ~US\$50 billion).
- In 2023 Novartis **spun off its generics arm (Sandoz)** to become a pure-play innovative-medicines firm — sharpening its reliance on the monopoly power of patents.

FDI-based explanations: internalization theory

- Explains how the MNE chooses to **acquire and retain** one or more value-chain activities inside itself.
- Such “internalization” provides the MNE with greater control over its foreign operations.
- Internalization avoids the drawbacks of dealing with external partners — such as reduced quality control and the risk of losing proprietary assets to outsiders.
- **Example — Intel:** Intel keeps chip design and its assembly-and-test operations (e.g. its plant in Chengdu, China) inside the firm, so that Intel’s knowledge, patents and processes are not misused or copied by potential rivals.

FDI-based explanations: Dunning's eclectic paradigm

- Three conditions determine whether a company will enter a given foreign country via **FDI**:
- **Ownership-specific advantages.** Knowledge, skills, capabilities, relationships or physical assets that the firm owns and which are the basis of its competitive advantages.
- **Location-specific advantages.** Advantages that exist in the target country — such as natural resources, low-cost labour or skilled labour — similar to comparative advantages.
- **Internalization advantages.** Control derived from internalizing foreign-based manufacturing, distribution or other value-chain activities.

Example of the eclectic paradigm: Sony in China

- **Ownership-specific advantages:** Sony possesses a huge stock of knowledge and patents in consumer electronics, embodied in products like the PlayStation and Bravia TV.
- **Location-specific advantages:** Sony manufactures in China to take advantage of the country's low-cost, highly knowledgeable labour.
- **Internalization advantages:** Sony wants to maintain control over its knowledge, patents, manufacturing processes and product quality.
- → Thus, Sony entered China via **FDI**.

Apply it: run an OLI analysis

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: use Dunning's eclectic paradigm to judge whether a firm should enter a foreign market via FDI — and to defend the decision with evidence.

- 1 Take the firm from the opening activity (or choose a new one) and a specific target country.
- 2 **Ownership (O):** what firm-specific advantages does it own — patents, brand, technology, scale — that it can exploit abroad?
- 3 **Location (L):** what does the target country offer — market size, low-cost or skilled labour, resources, proximity to customers?
- 4 **Internalization (I):** is control important enough (to protect quality or know-how) to justify owning the operation rather than licensing?
- 5 Verdict: only if **all three** hold does OLI predict entry by FDI. If one is missing, propose an alternative — exporting, licensing or a collaborative venture — and say why.

Non-FDI-based explanations: international collaborative ventures

- A form of cooperation between two or more firms: partners **pool resources and capabilities** to create synergies and share the risk of joint efforts.
- Starting in the 1980s, firms increasingly used collaborative ventures as a way to venture abroad.
- Collaboration provides access to foreign partners' know-how, capital, distribution channels or marketing assets — and helps overcome government-imposed obstacles.
- Unlike the FDI-based theories, collaborative ventures allow firms to internationalize without full ownership of foreign operations.

Two types of international collaborative ventures

- **Equity-based joint ventures** result in the formation of a new legal entity. Unlike wholly owned FDI, the firm collaborates with local partner(s) to reduce risk and the commitment of capital.
- **Project-based alliances** require no equity commitment — only a willingness to cooperate in R&D, manufacturing, design or another value-adding activity.
- Because project-based alliances have a narrowly defined scope and timeline, they give the firm greater flexibility than equity-based ventures.

Case: equity JV vs. project-based alliance

Tata Starbucks

Equity-based joint venture · new legal entity

- **Partners:** Starbucks (USA) & Tata Consumer Products (India) — a 50:50 **equity joint venture**, Tata Starbucks Pvt Ltd, a new legal entity (2012).
- **Each brings:** Starbucks the global brand, store format and coffee know-how; Tata local market access, real estate, coffee sourcing and regulatory navigation.
- **Why:** enter a tea-dominant, tightly regulated high-growth market by sharing risk and capital.
- **Outcome:** ~500 stores across India and its first profitable year (2026); target 1,000 stores by 2028.

BMW × Toyota

Project-based alliance · no equity

- **Partners:** BMW (Germany) & Toyota (Japan) — a **project-based, non-equity alliance**; no new company is formed.
- **Each brings:** Toyota its fuel-cell leadership, BMW its vehicle integration and engineering — pooled for joint R&D.
- **Why:** share the cost and risk of an uncertain technology (hydrogen fuel cells) without a capital-heavy tie-up.
- **Outcome:** deepened in 2024 to co-develop a 3rd-generation fuel-cell system; BMW's first series fuel-cell car is due in 2028.

Discussion: choosing how to collaborate

WHOLE-CLASS DISCUSSION • 10 MINUTES

- Map each venture onto the theory: which is equity-based and forms a new entity, and which is a non-equity, time-bound alliance?
- For each pair of partners, what firm-specific advantage does each side contribute — and what would each risk losing by going it alone?
- Why might these firms choose a collaborative venture instead of full FDI (a wholly-owned operation)? Use the OLI logic in your answer.
- When does a project-based alliance beat an equity joint venture — and when is the reverse true?
- Recall Afeela (Sony–Honda), a 50:50 EV venture scrapped in 2026 before shipping a car: what does its failure tell us about the risks of collaborative ventures?



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